# INSURANCE AND PENSIONS COMMISSION

## LIFE REPORT

## FOR

## LIFE ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2014

## List of Acronyms and Abbreviations

| | |
|---|---|
| **GPW** | Gross Premium Written |
| **NPI** | Net Premium Income |
| **GPI** | Gross Premium Income |
| **IPEC/ Commission** | Insurance and Pension Commission |
| Mar 13 | March 2013 |
| Mar14 | March 2014 |
| **NOTE:** | **ALL MONETARY FIGURES ARE IN USD** |

## 2.0 Industry Overview

The report is based on 10 direct players and 2 reassurance companies. The industry reportedly wrote $68 million (March 2013:$57million) in net premium terms, a 19% annual growth rate. At $46million, total costs rose by 11%. The life assurance industry realized $22million in technical profit in line with a 68% combined ratio (March 2013: 73%).A deliberate effort by the Commission to introduce and promote micro insurance should increase penetration ratio. Such efforts should see the majority of the population accessing financial services including insurance.

For the current review period, total industry assets were $1.5billion, an 18% growth from $1,3billion for the comparative period last year. With total liabilities reported at $1.3billion, free assets amounted to $244million, being 19% of the former. Gradual efforts by the Commission are underway with a view to adopt best practices, particularly a home grown version of Solvency II, in consultation with the industry (See Table 1, below).

**Table 1 : Financial Performance Indicators for Life Companies for the quarter ended 31 March 2014**

| Item | Life Assurers | | | Life Reassurers | | | TOTALS | | |
|---|---|---|---|---|---|---|---|---|---|
| | March 13 | March 2014 | Growth | March 2013 | March 2014 | Growth | March 2013 | March 2014 | Growth |
| **Gross Premiums Written ($000)** | 56,079 | *67,119* | 20% | 1,880 | *2,154* | 15% | 57,959 | *69,273* | 20% |
| **Net Premiums Written ($000)** | 55,184 | *65,866* | 19% | 1,723 | *1,819* | 6% | 56,907 | *67,685* | 19% |
| **Retention Ratio** | 98% | *98%* | (2%) | 92% | *84%* | (8%) | 98% | *98%* | - |
| **Total Gross Claims ($000)** | 28,548 | *28,626* | - | 439 | *850* | 94% | 28,987 | *29,903* | 3% |
| **Total Net Claims ($000)** | 28,106 | *28,422* | 1% | 439 | *850* | 94% | 28,545 | *29,272* | 3% |
| **Management Expenses ($000)** | 9,960 | *12,792* | 28% | 328 | *311* | -5% | 10,288 | *13,103* | 27% |
| **Commissions ($000)** | 2,215 | *3,073* | 39% | 381 | *370* | (3%) | 2,596 | *3,443* | 33% |
| **Total Costs($000)** | 40,281 | *44,287* | 10% | 1,146 | *1,531* | 34% | 41,427 | *45,818* | 11% |
| **Technical Profit** | 15,003 | *21,579* | 44% | 577 | *288* | -50% | 15,580 | *21,867* | 78% |
| **Expense Ratio (%)** | 22% | *24%* | 2% | 41% | *37%* | (4%) | 23% | *24%* | 1% |
| **Claims Ratio** | 51% | *43%* | (8%) | 25% | *47%* | 22% | 50% | *43%* | (7%) |
| **Combined Ratio** | 73% | *67%* | -9% | 67% | *84%* | 17% | 73% | *68%* | (5%) |
| **Total Assets ($000)** | 1,299,444 | *1,522,932* | 17% | 7,430 | *13,185* | 77% | 1,306,874 | *1,536,117* | 18% |
| **Current Assets** | 174,668 | *272,193* | 56% | 5,352 | *4,534* | (15%) | 180,020 | *276,727* | 54% |
| **Current Liabilities** | 87,152 | *148,449* | 70% | 1,005 | *1,080* | 31% | 88,157 | *149,529* | 70% |
| **Total Liabilities ($000)** | 1,133,941 | *1,285,860* | 13% | 5,139 | *6,071* | 18% | 1,139,080 | *1,291,931* | 13% |
| **Free Capital($000)** | 162,503 | *237,072* | 46% | 2,289 | *7,114* | 211% | 164,792 | *244,186* | 48% |
| **Liquidity/Current Ratio** | 200% | *183%* | 17% | 533% | *420%* | (113%) | 204% | *185%* | (19%) |
| **Capital to liability Ratio** | 14% | *18%* | 4% | 45% | *117%* | 163% | 15% | *19%* | 4% |
| **Prescribed Asset Ratio (%)** | 1% | *1%* | - | 0 | *0* | 0 | 1 | *1* | 0% |

# Section A

# Life Assurance Companies

## 3.0 Update on Number of Operational Institutions

All 10 players submitted their returns, which are the subject of this report.

### 4.0 Net Premiums Written

For the period under review, life companies realised $66million in net written premiums, a 19% growth from

$55million realized in the prior year reflecting a rapidly recovering of the industry from scepticism generated by the recession years (see Table 2, below).

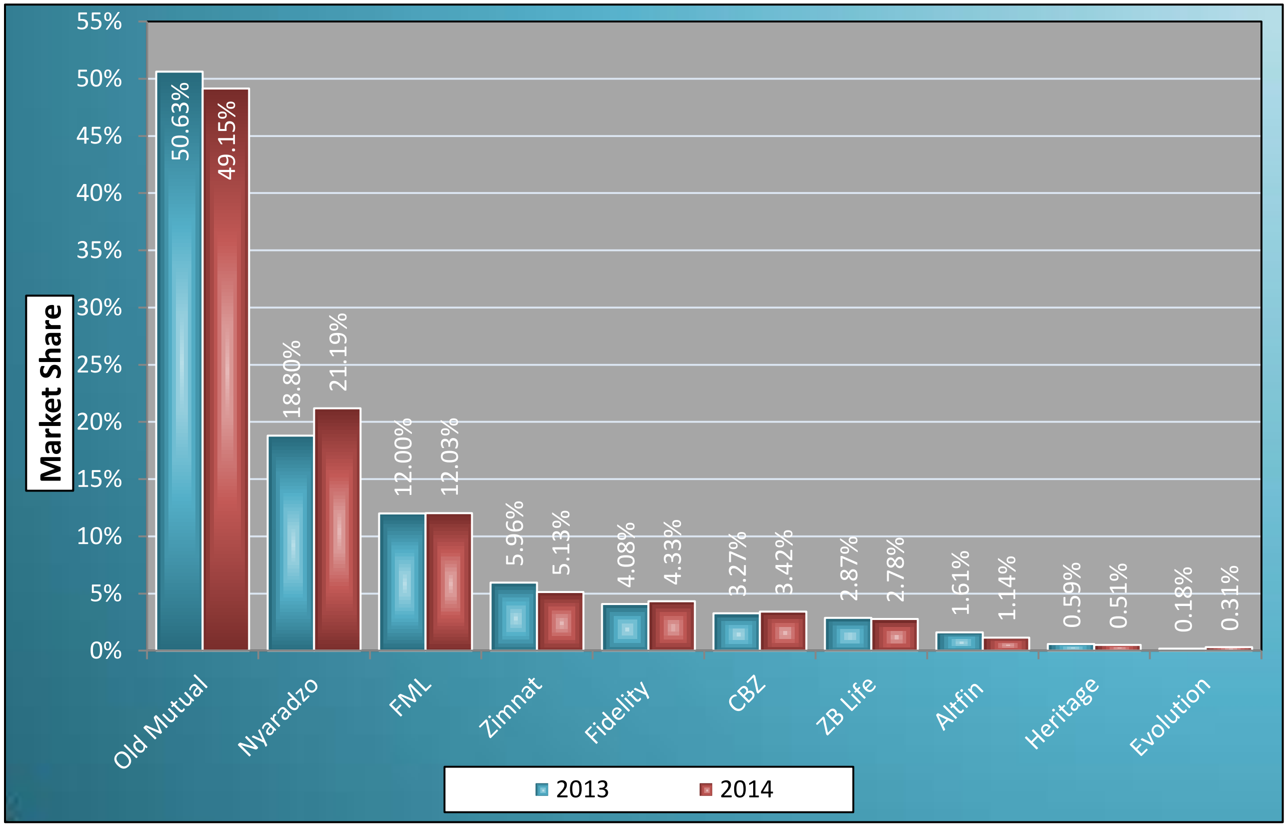
**Table 2: Net Written Premium Distribution by Company as at 31 March 2014**

| Company | NPW (USD 000) | | |
|---|---|---|---|
| | Mar 2013 | Mar 2014 | Growth |
| Altfin | 886 | 754 | -15% |
| Cbz | 1,807 | 2,253 | 25% |
| Evolution | 102 | 207 | 103% |
| Fidelity | 2,254 | 2,850 | 26% |
| FML | 6,624 | 7,923 | 20% |
| Heritage | 324 | 336 | 4% |
| Nyaradzo | 10,377 | 13,960 | 35% |
| Old Mutual | 27,937 | 32,373 | 16% |
| Zb Life | 1,586 | 1,829 | 15% |
| Zimnat | 3,287 | 3,381 | 3% |
| TOTAL | **55,184** | **65,866** | 19% |

## 5.0 Market Share For Life Assurance Companies

For the quarter ended 31 March 2014, 82% or $54million of the total net business was written by the top three companies (March 2013:82% or $45million). The distribution was significantly changed by the graduation of Nyaradzo Funeral Assurance which upgraded its licence to life assurance. Players are encouraged to centre their competition on new product innovation including micro insurance and service (See Table 2 above and Figure 1 below).

**Figure 1: Market share by company for the Quarter Ended 31 March 2014**



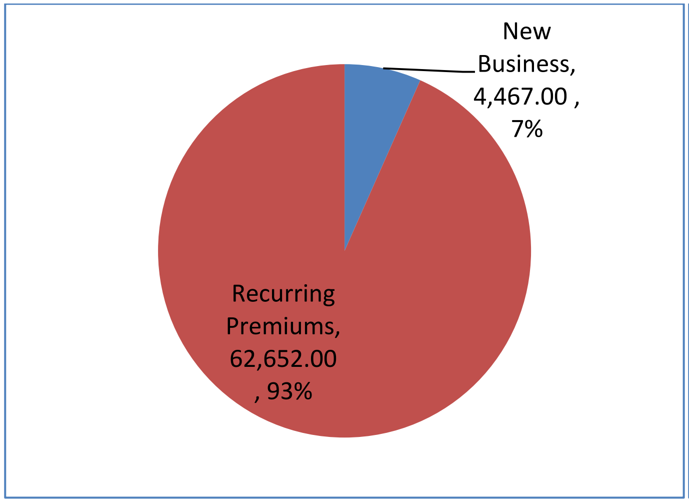
## 6.0 Business Composition

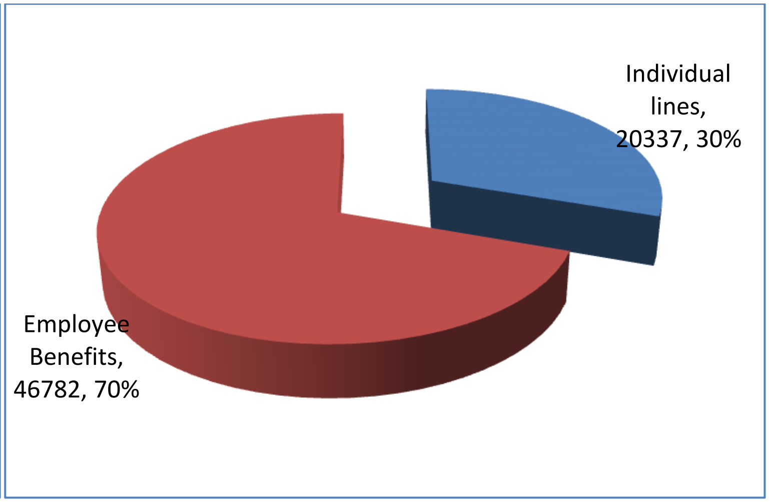
For the current reporting period, life companies wrote $67 million in gross premiums with 93% or $63 million made up of recurring business whilst $4million or 7% was new business streams (March 2013:95% or $53million:5% or $3million)respectively. Employee benefits products contributed 70% or $47million of the business portfolio with the balance being individual lines (see Table 3 and Figure 1 below). As highlighted earlier, micro insurance also provides an untapped but potent income stream for our industry.

**Table 3: Business Composition by Company for the year ended 31 March 2014**

| Co. Name | Individual Life ($000) | | | | | | Employee Benefits/GLA ($000) | | | | | | Total Gross Premiums Written ($000) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | New Business | | | Recurring Premiums | | | New Business | | | Recurring Premiums | | | | | |
| | Mar-13 | Mar-14 | Growth(%) | Mar-13 | Mar-14 | Growth(%) | Mar-13 | Mar-14 | Growth(%) | Mar-13 | Mar-14 | Growth(%) | Mar-13 | Mar-14 | Growth(%) |
| Altfin | 35 | 0 | -100% | 836 | 0 | -100% | 0 | - | - | 158 | 850 | 438% | 1,029 | 850 | -17% |
| CBZ Life | 46 | 215 | 367% | 404 | 1,387 | 243% | 344 | 681 | 98% | 1,051 | 14 | -99% | 1,845 | 2,297 | 24% |
| Evolution | 11 | 35 | 218% | 90 | 173 | 92% | 0 | 0 | - | 0 | 0 | - | 101 | 208 | 106% |
| Fidelity | 225 | 163 | -28% | 257 | 847 | 230% | 0 | 0 | - | 1,868 | 1,939 | 4% | 2,350 | 2,949 | 25% |
| FML | 94 | 217 | 131% | 2,839 | 3,306 | 16% | 49 | 1,047 | 2037% | 3,715 | 3,418 | -8% | 6,697 | 7,988 | 19% |
| Heritage | 10 | 10 | 0% | 188 | 239 | 27% | 5 | 0 | -100% | 135 | 106 | -21% | 338 | 355 | 5% |
| Nyaradzo | 409 | 312 | (24) | 5,996 | 9,532 | 59% | 92 | 46 | (50) | 3,880 | 4,071 | 5% | 10,377 | 13,961 | 35% |
| O. Mutual | 139 | 139 | 0% | 1,578 | 2,444 | 55% | 1,166 | 1,285 | 10% | 25,247 | 28,771 | 14% | 28,130 | 32,639 | 16% |
| Zb Life | 262 | 103 | -61% | 390 | 617 | 58% | 15 | 50 | 233% | 1,064 | 1,128 | 6% | 1,731 | 1,898 | 10% |
| Zimnat | 33 | 88 | 167% | 398 | 510 | 28% | 77 | 76 | -1% | 2,973 | 3,300 | 11% | 3,481 | 3,974 | 14% |
| **TOTAL** | **1,264** | **1,282** | 1% | **12,976** | **19,055** | 47% | **1,748** | **3,185** | 92% | **40,091** | **43,597** | 18% | **56,079** | 67,119 | 20% |

**Figure 2: Business Composition for the quarter ended 31 March 2014 ($000)**


New Business, 4,467.00 , 7%
Recurring Premiums, 62,652.00 , 93%


Individual lines, 20337, 30%
Employee Benefits, 46782, 70%

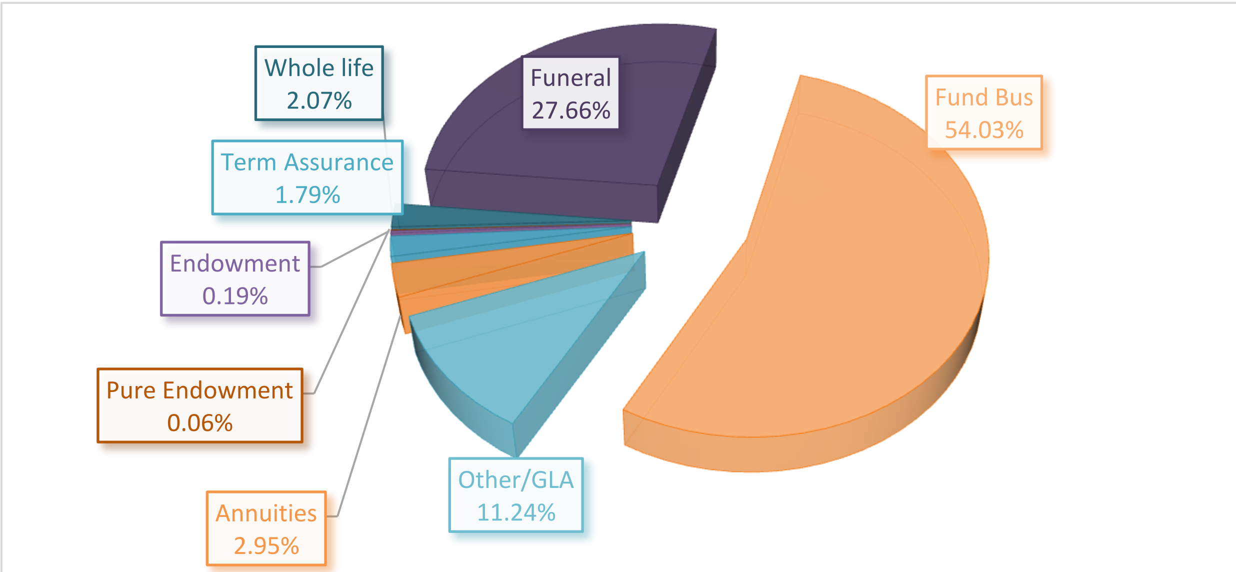
### 5.2 Business Composition by Class

Fund business constituted 54% (March 2013:62%), group life assurance policies -11 %( March 2013:12%) and funeral business-28 %( March 2013:9%) of total gross premium written. The mentioned products constituted for a combined 93% of gross premium written with funeral business being the fastest growing class of the business because of the addition of Nyaradzo Life which has a predominantly funeral book (See Table 4,below).

**Table 4: Gross Premium Written by Class for the quarter ended 31 March 2014 ($000)**

| Co. Name | Annuities | | | Term Assurance | | | Endowment | | | Pure Endowment | | | Whole Life | | | Funeral | | | Fund Business | | | OTHER/GLA | | | Total | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % |
| **Altfin** | 12 | 0 | - | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - | 0 | 0 | 0 | 725 | 0 | - | 292 | 850 | 191 | 1,029 | 850 | -17% |
| **CBZ Life** | 748 | 0 | -100 % | 0 | 1,114 | - | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - | 1,097 | 0 | -100 | 0 | 1,183 | - | 0 | 0 | - | 1,845 | 2,297 | 24% |
| **Evolution** | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - | 0 | 6 | - | 0 | 137 | 0 | 0 | 0 | - | 101 | 65 | (36) | 101 | 208 | 106 % |
| **Fidelity** | 0 | 17 | -! | 0 | 0 | - | 164 | 77 | -53% | 8 | 29 | 163 | 129 | 85 | -34 | 0 | 623 | 0 | 1,867 | 1,937 | 4 | 182 | 180 | (1) | 2,350 | 2,949 | 25% |
| **FML** | 414 | 1,125 | 172 % | 54 | 27 | (50) | 43 | 44 | 2% | 273 | 0 | - | - | 133 | | 2,141 | 2,320 | 8 | 3,772 | 3,918 | 4 | 0 | 422 | - | 6,697 | 7,988 | 19% |
| **Heritage** | 0 | 2 | - | 0 | 0 | - | 0 | 2 | - | 0 | 0 | - | 0 | 0 | 0 | 338 | 221 | (35) | 0 | 0 | 0 | 0 | 130 | - | 338 | 355 | 5% |
| **Nyarardzo** | 0 | 0 | - | 0 | 0 | - | 0 | - | - | 0 | - | (19) | 0 | 0 | 0 | 10,377 | 13,961 | 35 | 0 | 0 | - | - | - | - | 10,377 | 13,961 | 35% |
| **O. Mutual** | 4,564 | 765 | -83% | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - | 625 | 1,079 | 73 | 695 | 739 | 6 | 17,858 | 25,546 | 43 | 4,388 | 4,510 | 3 | 28,130 | 32,639 | 16% |
| **Zb Life** | 2 | 1 | -50% | 207 | 39 | -81 | 0 | 7 | - | 53 | 18 | (66) | 0 | 8 | 0 | 0 | 30 | 0 | 1,469 | 1,795 | 22 | 0 | 0 | - | 1,731 | 1,898 | 10% |
| **Zimnat** | 404 | 71 | -82% | 0 | 20 | 0 | 0 | 0 | - | 0 | 0 | - | 0 | 79 | - | 385 | 499 | 30 | 2,692 | 1,912 | -29 | 0 | 1,393 | - | 3,481 | 3,974 | 14% |
| **Total** | **6,144** | **1,981** | (68 %) | **261** | **1,200** | 360 | **207** | **130** | -37% | **334** | **47** | (86) | **754** | **1,390** | 84 | **14,695** | **18,530** | 26% | **28,383** | **36,291** | 28 | **5,301** | **7,550** | 42 | **56,079** | 67,119 | 20% |

**Figure 3: Gross Written Premium by Product Class by Company for the quarter ended 31 March 2014**




### 5.2.1 Not-taken Up and Lapsed Policies

The industry reported that the total policies that were not taken up amounted to $83 000 (March 2013:$54 000).Lapse ratios were reportedly in the thresholds of up to 102% and confined to individual lines business. The Commission regards high lapse ratios as a red flag for possible misselling practices which could lead us to s-rating perpetrators ( see Table 5, below).

### Table 5: Lapses and Not Taken Up Policies by Company

| Co. Name | Not taken up policies (000) | | | | | | Lapse Ratios (%) | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Individual | | | Group Business | | | Individual | | | Group Business | | |
| | 13-Mar | 14-Mar | Growth | 13-Mar | 14-Mar | Growth | 13-Mar | 14-Mar | Growth | 13-Mar | 14-Mar | Growth |
| **Altfin** | 0 | 0 | 0 | 5 | 0 | - | 0 | 102 | 0 | 0 | 0 | 0 |
| **CBZ Life** | 22 | 35 | 59 | 24 | 0 | - | 50.1 | 9 | -85 | 50.27 | 0 | 0 |
| **Evolution** | 0 | 0 | 0 | 0 | 0 | - | 3.62 | 23 | 535 | 0 | 0 | 0 |
| **Fidelity** | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 3 | 0 | 0 | 0 | 0 |
| **FML** | 12 | 21 | 75 | 0 | 0 | 0 | 9.7 | 40 | 314 | 0 | 0 | 0 |
| **Heritage** | 0 | 2 | 0 | 0 | 0 | 0 | 80.8 | 4 | -95 | 0 | 4 | 0 |
| **Nyaradzo** | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 5 | 0 | 0 | 9 | 0 |
| **O Mutual** | 0 | 1 | 0 | 0 | 0 | 0 | 6.75 | 7 | 9 | 0 | 0 | 0 |
| **Zb Life** | 20 | 24 | -95 | 0 | 0 | 0 | 105.91 | 12 | -89 | 0 | 0 | 0 |
| **Zimnat** | 0 | 0 | 0 | 1 | 0 | -100 | 7.86 | 0 | 100 | 0 | 0 | 0 |
| **TOTAL** | 54 | 83 | 54 | 30 | 0 | -100 | N/A | N/A | N/A | N/A | N/A | N/A |

## 7.0 Claims Analysis

For the quarter ended 31 March 2014, life companies paid $28million in net claims (March 2013: $28million).The Industry's total claims bill grew by 1% compared to the net premium growth rate of 47% (See Table 6,below and Table 2,above).

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**Table 6 : Claims Categories by Company for the quarter ended 31 March 2014 ($000)**

| Co. Name | Death | | | Maturity | | | Disability | | | Surrenders | | | Annuities | | | Reinsurance | | | Total Net Claims | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 13-Mar | 14-Mar | (%) | 13-Mar | 14-Mar | (%) | 13-Mar | 14-Mar | (%) | 13-Mar | 14-Mar | (%) | 13-Mar | 14-Mar | (%) | 13-Mar | 14-Mar | (%) | 13-Mar | 14-Mar | (%) |
| **Altfin** | 69 | 16 | -77% | 0 | 23 | 0 | 0 | 0 | 0 | 146 | 87 | (40%) | 0 | 0 | 0 | 23 | 0 | 0 | 192 | 126 | (34%) |
| **CBZ Life** | 323 | 383 | 19% | 0 | 92 | 0 | 0 | 0 | 0 | 0 | 314 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 323 | 789 | 144% |
| **Evolution** | 8 | 18 | 125% | 0 | 14 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 8 | 32 | 300% |
| **Fidelity** | 270 | 161 | (40%) | 18 | 91 | 406% | 0 | 0 | 0 | 73 | 54 | (26%) | 15 | 34 | 127% | 0 | 10 | 0 | 376 | 330 | (12%) |
| **FML** | 233 | 530 | 127% | 429 | 578 | 35% | 385 | 430 | 12 | 311 | 545 | 75% | 239 | 300 | 26% | 345 | 65 | (81) | 1,259 | 2,318 | 84% |
| **Heritage** | 28 | 80 | 186 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 28 | 80 | 186% |
| **Nyaradzo** | 5,073 | 4,072 | (20%) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 23 | - | 0 | 0 | 0 | 13 | 0 | 0 | 5,060 | 4,095 | (19%) |
| **O. Mutual** | 2,813 | 2,308 | -18% | 5,108 | 6,503 | 27% | 0 | 0 | 0 | 8,947 | 7,553 | -16% | 2,449 | 2,750 | 12% | 12 | 116 | 867 | 19,305 | 18,998 | (2%) |
| **Zb Life** | 365 | 360 | -1% | 9 | 52 | 478% | 0 | 0 | 0 | 145 | 398 | 174% | 0 | 23 | 0 | 10 | 0 | 0 | 509 | 833 | 64% |
| **Zimnat** | 842 | 482 | -43% | 243 | 339 | 40% | 0 | 0 | 0 | 0 | 13 | 0! | 0 | 0 | 0 | 39 | 13 | (67) | 1,046 | 821 | (22%) |
| **Total** | **10,024** | **8,410** | (16%) | **5,807** | **7,692** | 32% | **385** | **430** | 12 | **9,629** | **8,987** | -7% | **2,703** | **3,107** | 15% | **442** | **204** | (54) | **28,106** | **28,422** | 1% |

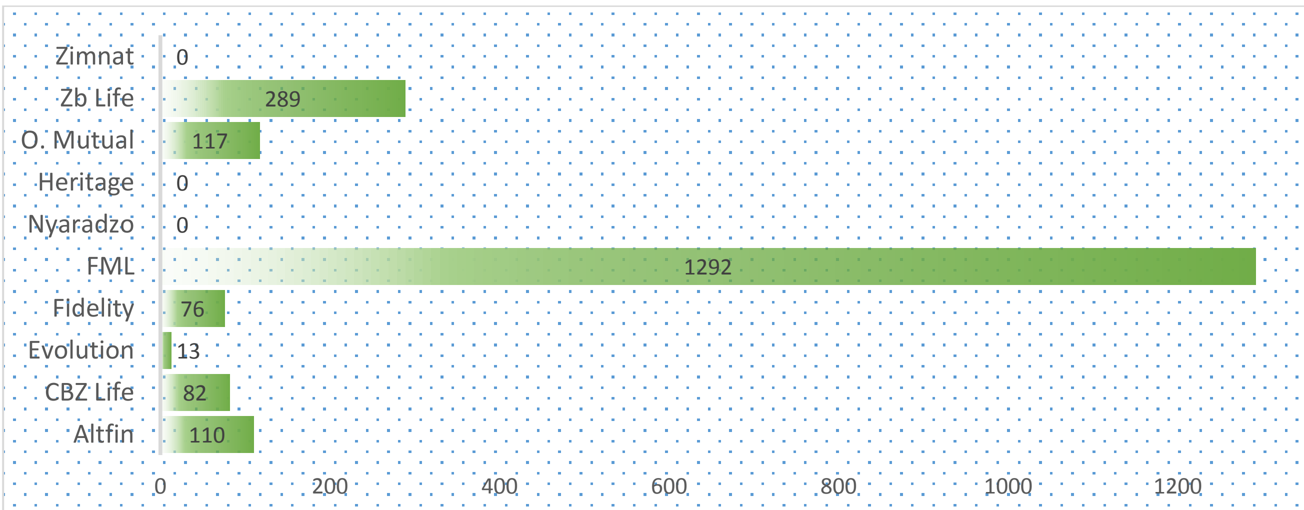
## 7.0 Claims Aged Analysis

For the current reporting quarter, total outstanding claims were $2million with $1million or 52% older than 31days. The Commission will investigate such cases with a view to ensuring that all legitimate claims are paid timeously. All unjustified delays in claims settlement will attract severe penalties in terms of the law (See Table 7 and Figure 4, below).

**Table 7 : Claims Aged Analysis by Company for the quarter ended 31 March 2014 ($000)**

| Co. Name | >30days | 31-60days | 61-90days | 91-120days | <121 days plus | Total |
|---|---|---|---|---|---|---|
| **Altfin** | 0 | 10 | 0 | 12 | 88 | 110 |
| **CBZ Life** | 0 | 10 | 44 | 28 | 0 | 82 |
| **Evolution** | 10 | 3 | 0 | 0 | 0 | 13 |
| **Fidelity** | 63 | 5 | 8 | 0 | 0 | 76 |
| **FML** | 635 | 4 | 3 | 0 | 650 | 1,292 |
| **Heritage** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Nyaradzo** | 0 | 0 | 0 | 0 | 0 | 0 |
| **O. Mutual** | 117 | 0 | 0 | 0 | 0 | 117 |
| **Zb Life** | 114 | 43 | 1 | 0 | 131 | 289 |
| **Zimnat** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total** | **939** | **75** | **56** | **40** | **869** | **1,979** |

## Figure 4: Claims Aged Analysis by Company (000)



## 8.0 Debtors Aged Analysis

The life assurance companies recorded a debtors book worth $8million.Given the gross premium figure for the year of $67million implying that the average premium collection rate was 88% which is considered reasonable in light of the liquidity challenges prevailing in the economy(see Table 8,below).

**Table 8 : Debtors Aged Analysis by Company for the quarter ended 31 March 2014 ($000)**

| Co. Name | >30days | 31-60days | 61-90days | 91-120days | <121 days plus | Total |
|---|---|---|---|---|---|---|
| Altfin | **31** | 52 | 52 | 492 | 910 | 1,537 |
| CBZ Life | **0** | 112 | 93 | 0 | 0 | 205 |
| Evolution | **52** | 77 | 7 | 34 | 107 | 277 |
| Fidelity | **475** | 265 | 331 | 17 | 1,382 | 2,470 |
| FML | **475** | 140 | 344 | 0 | 0 | 959 |
| Nyaradzo | **1,822** | 0 | 0 | 0 | 0 | 1,822 |
| Heritage | **78** | 84 | 66 | 16 | 266 | 510 |
| O. Mutual | **0** | 0 | 0 | 0 | 0 | 0 |
| Zb Life | **0** | 0 | 0 | 0 | 0 | 0 |
| Zimnat | **0** | 0 | 0 | 0 | 0 | 0 |
| Total | **2,933** | **730** | **893** | **559** | **2,665** | 7,780 |

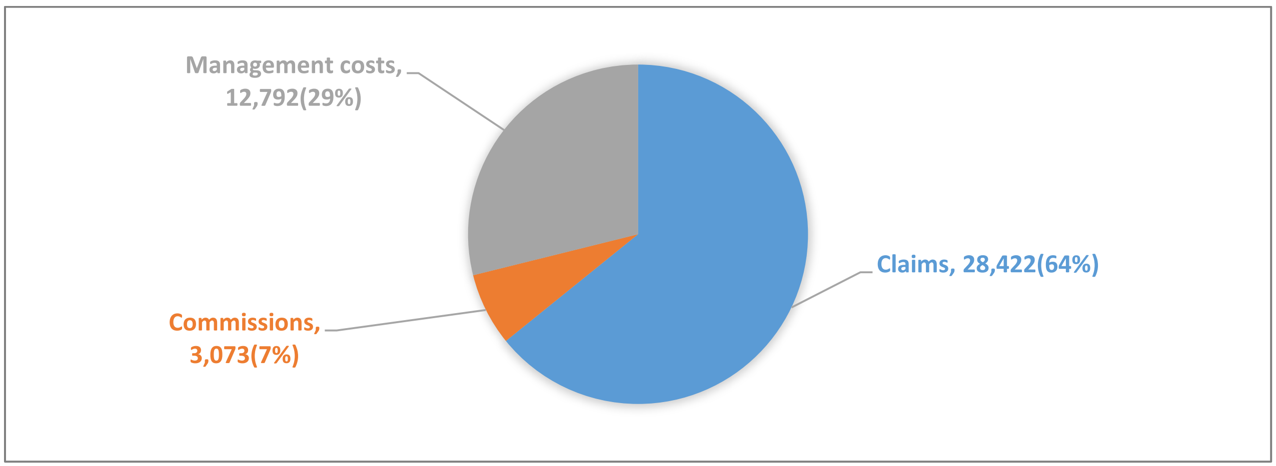
## 9.0 Earnings

For the quarter ended 31 March 2014 review, management costs accounted for 29% or $13million of total costs (March 2013:25% or $10million), claims-64% or $28million (March 2013: 70% or $28million) whilst the commission bill was 7% or $3million (March 2013: 5% or $2million). This culminated in a 67% combined ratio (March 2013: 74%) (See Table 9 and figure 5, below).

## Table 9: Key Income and Cost Indicators By Company for the quarter ended 31 March 2014 ($000)

| Co. Name | NPW($000) | | Claims ($000) | | | Commissions($000) | | | Management Expenses($000) | | | Total Costs($000) | | | Combined Ratio | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 13-Mar | 14-Mar | 13-Mar | 14-Mar | Growth | 13-Mar | 14-Mar | Growth | 13-Mar | 14-Mar | Growth | Mar 13 | 14-Mar | Growth | 13-Mar | 14-Mar | % |
| Altfin | 886 | 754 | 192 | 126 | -34% | 99 | 76 | -23% | 400 | 409 | 2% | *691* | *611* | -12% | *78%* | 81% | 3% |
| CBZ Life | 1,807 | 2,253 | 323 | 789 | 144% | 237 | 398 | 68% | 448 | 639 | 43% | *1,008* | *1,826* | 81% | *56%* | 81% | 25% |
| Evolution | 102 | 207 | 8 | 32 | 300% | 2 | 5 | 150% | 150 | 182 | 21% | *160* | *219* | 37% | *157%* | 106% | -51% |
| Fidelity | 2,254 | 2,850 | 376 | 330 | -12% | 43 | 57 | 33% | 1,079 | 1,388 | 29% | *1,498* | *1,775* | 18% | *66%* | 62% | -4% |
| FML | 6,624 | 7,923 | 1,259 | 2,318 | 84% | 396 | 418 | 6% | 1,955 | 3,231 | 65% | *3,610* | *5,967* | 65% | *54%* | 75% | 21% |
| Heritage | 324 | 336 | 28 | 80 | 186% | 48 | 62 | 29% | 134 | 164 | 22% | *210* | *306* | 46% | *65%* | 91% | 26% |
| Nyaradzo | 10,377 | 13,960 | 5,060 | 4,095 | (19%) | 582 | 1,118 | 92% | 1,557 | 2,093 | 34% | *7,199* | *7,306* | 1% | *69%* | 52% | (16%) |
| O Mutual | 27,937 | 32,373 | 19,305 | 18,998 | -2% | 293 | 413 | 41% | 3,074 | 3,502 | 14% | *22,672* | *22,913* | 1% | *81%* | 71% | -10% |
| Zb Life | 1,586 | 1,829 | 509 | 833 | 64% | 393 | 279 | -29% | 381 | 426 | 12% | *1,283* | *1,538* | 20% | *81%* | 84% | 3% |
| Zimnat | 3,287 | 3,381 | 1,046 | 821 | -22% | 122 | 247 | 102% | 782 | 758 | -3% | *1,950* | *1,826* | -6% | *59%* | 54% | -5% |
| **Total** | **55,184** | **65,866** | **28,106** | **28,422** | 1% | 2,215 | **3,073** | 39% | 9,960 | **12,792** | 28% | *40,281* | **44,287** | 10% | *74%* | 67% | 6% |

## Figure 5: Key Cost Indicators By Company for the quarter ended 31 March 2014



## 10. Asset Quality

As at the close of the review period, life players held their investments in properties,36% or $553million (March 2013:36% or$471million }, equities,$537million or 35% (March 2013:42% or $550million), money market ,$200million or 13%(March 2013:11% or $149million), cash assets,$18million or 1% (March 2013:1% or $13million) , other assets ,$193million or 13% (March 2013:8% or $98million) and $22million or 1% on prescribed assets similar to the comparable period last year. The industry must abide by investment guidelines prescribed by the Commission from time to time in addition to actuarial input (See Table 10 and Figure 6, below).

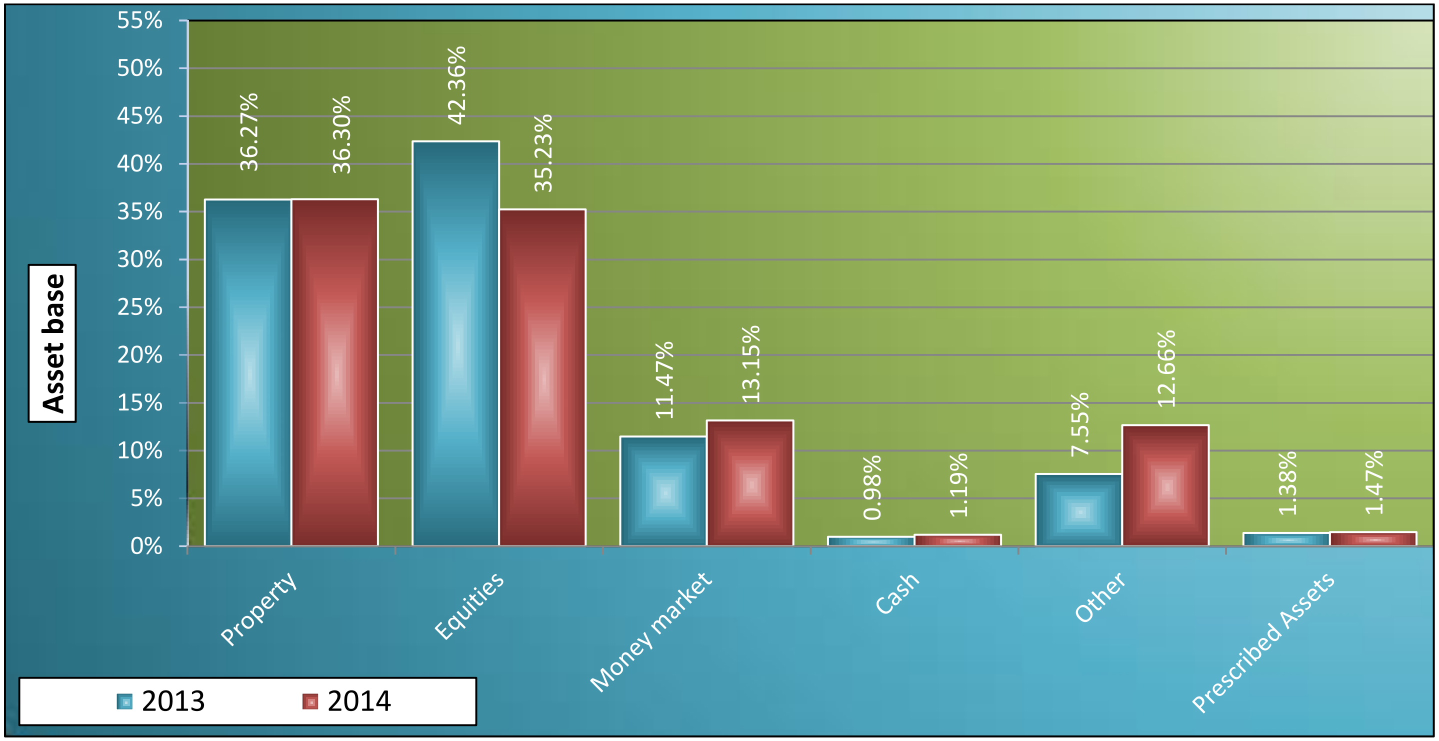
**Table 10: Life industry Assets for the year for the quarter ended 31 March 2014 ($000)**

| Co. Name | Fixed Property (000) | | | Equities (000) | | | Money Market (000) | | | Cash (000) | | | Other Investments (000) | | | Prescribed Assets | | | Total Assets (000) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % |
| **Altfin** | 1,758 | 1,500 | -15% | 0 | 0 | - | -297 | 137 | -146 | 711 | 120 | -83 | 297 | 1208 | 307 | 0 | 0 | 0 | 2,469 | 2,965 | 20 |
| **CBZ Life** | 171 | 292 | 71% | 0 | 0 | - | 4,466 | 7,225 | 62 | 299 | 290 | -3 | 427 | 547 | 28 | 486 | 620 | 28 | 5,849 | 8,974 | 53 |
| **Evolution** | 25 | 32 | 28% | 0 | | - | 248 | 224 | -10 | 5 | 30 | 500 | 2,238 | 2,611 | 17 | 0 | 30 | 0 | 2,516 | 2,927 | 16 |
| **Fidelity** | 18,416 | 26,432 | 44% | 6,515 | 5,308 | -19 | 4,337 | 5,887 | 36 | 435 | 759 | 74 | 6,321 | 9,238 | 46 | 0 | 0 | 0 | 36,024 | 47,624 | 32 |
| **FML** | 0 | 14,353 | -! | 22,654 | 24,939 | 10 | 10,342 | 5,502 | -47 | 1,720 | 1,787 | 4 | 66,620 | 137,490 | 106 | 413 | 3,364 | 715 | 101,749 | 187,435 | 84 |
| **Heritage** | 512 | 724 | 41% | 23 | 0 | - | 1,530 | 1,662 | 9 | 87 | 54 | -38 | 373 | 422 | 13 | 0 | 0 | 0 | 2,525 | 2,862 | 13 |
| **Nyaradzo** | 12,824 | 20,807 | 62% | 109 | 146 | 34 % | 2,195 | 4,781 | 118 % | 3,082 | 3,484 | 13 % | 7,864 | 11,260 | 43 % | 100 | 283 | 183 % | 26,174 | 40,761 | 56% |
| **O. Mutual** | 421,047 | 467,842 | 11% | 486,725 | 473,283 | -3 | 115,179 | 158,989 | 38 | 5,524 | 10,598 | 92 | 12,825 | 24,565 | 92 | 14,147 | 17,506 | 24 | 1,055,447 | 1,152,783 | 9 |
| **Zb Life** | 1,064 | 3,433 | 223 % | 23,382 | 20,453 | -13 | 1,569 | 2,261 | 44 | 242 | 143 | -41 | 1,164 | 1,760 | 51 | 413 | 331 | -20 | 27,834 | 28,381 | 2 |
| **Zimnat** | 15,440 | 17,340 | 12% | 10,972 | 12,461 | 14 | 9,475 | 13,632 | 44 | 610 | 871 | 43 | 0 | 3,679 | 0 | 2360 | 237 | -90 | 38,857 | 48,220 | 24 |
| **Total** | **471,257** | **552,755** | 21% | **550,380** | **536,590** | **-2** | **149,044** | **200,300** | **36** | **12,715** | **18,136** | **88** | **98,129** | **192,780** | **114** | **17,919** | **22,371** | **26** | **1,299,444** | **1,522,932** | 17% |



I

**Figure 6: Life industry Assets for the quarter ended 31 March 2014**



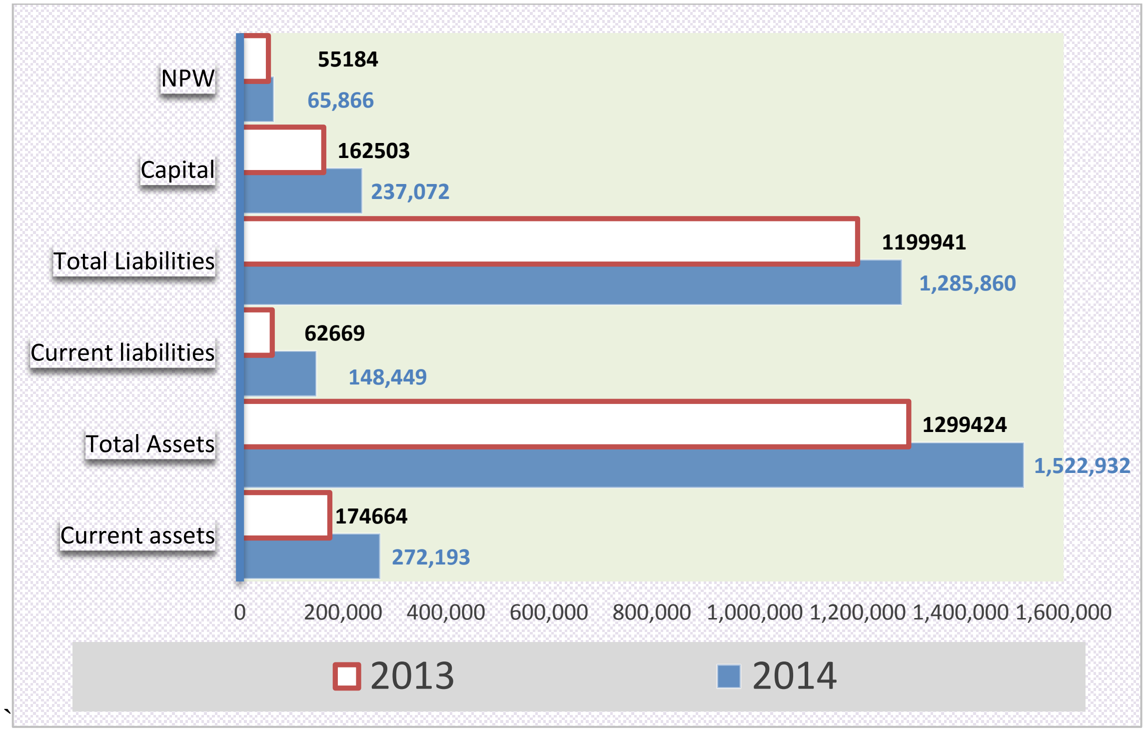

## 11. Capitalization, Solvency and Liquidity Indicators

As at the reporting date the life industry was largely adequately capitalized in excess of $ 2 000 000 as prescribed by Statutory Instrument 21 of 2013 but fully implementable by 30 June 2014.The industry reported combined capital to liability and liquid ratios of 18% and 183% respectively (See Table 11 and Figure 7,below).

## Table 11: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2014 ($000)

| Co. Name | Current Assets | | | Current Liabilities | | | Total Assets | | Total Liabilities | | | Capital (Net Assets) | | | NPW | | Capital/liability Ratio (%) | | | Current Ratio (%) | | | *Capital to NPW Ratio (%)* | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | *%* |
| **Altfin** | 771 | 1,227 | 59 | 1,493 | 1,949 | 31 | 2,469 | 2,965 | 1,959 | 2,603 | 33 | 510 | 362 | -29 | 886 | 754 | 26 | 14 | (12) | 48 | 63 | 15 | 58 | 48 | (10) |
| **CBZ Life** | 5,679 | 8,467 | 49 | 2,250 | 2,121 | -6 | 5,849 | 8,974 | 2,250 | 2,670 | 19 | 3,599 | 6,304 | 75 | 1,807 | 2,253 | 160 | 236 | (76) | 252 | 399 | 147 | 199 | 280 | 81 |
| **Evolution** | 339 | 961 | 183 | 407 | 460 | 13 | 2,516 | 2,927 | 407 | 460 | 13 | 2,109 | 2,468 | 17 | 102 | 207 | 518 | 537 | (19) | 83 | 209 | 126 | 2068 | 1192 | (876) |
| **Fidelity** | 11,092 | 15,884 | 43 | 5,779 | 8,395 | 45 | 36,024 | 47,624 | 27,622 | 37,009 | 34 | 5,402 | 10,615 | 97 | 2,254 | 2,850 | 30 | 29 | (1) | 192 | 189 | (3) | 373 | 372 | (1) |
| **FML** | 13,671 | 13,702 | 0 | 6,512 | 27,748 | 326 | 101,749 | 187,435 | 84,889 | 117,057 | 38 | 16,860 | 70,378 | 317 | 6,624 | 7,923 | 20 | 60 | (40) | 210 | 49 | (161) | 255 | 888 | 633 |
| **Heritage** | 1,677 | 1,982 | 18 | 245 | 310 | 27 | 2,525 | 2,862 | 438 | 484 | 11 | 2,087 | 2,378 | 14 | 324 | 336 | 476 | 491 | 15 | 0 | 639 | 639 | 0 | 708 | 708 |
| **Nyaradzo** | 13,113 | 19,680 | 50 | 24,483 | 38,109 | 56 | 26,174 | 40,761 | 24,696 | 38,181 | 55 | 1,478 | 2,579 | 74 | 10,377 | 13,960 | 35% | 6 | 7 | 1 | 52 | 52 | 14% | 18 | |
| **O. Mutual** | 123,994 | 191,864 | 55 | 41,881 | 65,444 | 56 | 1,055,447 | 1,152,783 | 939,071 | 1,027,506 | 9 | 116,376 | 125,277 | 8 | 27,937 | 32,373 | 12 | 12 | 0 | 296 | 293 | (3) | 417 | 387 | (30) |
| **Zb Life** | 2,418 | 3,217 | 33 | 1,953 | 1,715 | -12 | 27,834 | 28,381 | 23,132 | 25,164 | 9 | 4,702 | 3,217 | -32 | 1,586 | 1,829 | 20 | 13 | (7) | 124 | 188 | (64) | 296 | 176 | (120) |
| **Zimnat** | 1,914 | 15,209 | 695 | 2,149 | 2,198 | 2 | 38,837 | 48,220 | 29,477 | 34,726 | 18 | 9,380 | 13,494 | 44 | 3,287 | 3,381 | 32 | 39 | 7 | 89 | 692 | 603 | 285 | 399 | 114 |
| **Total** | **174,668** | **272,193** | **56** | **87,152** | **148,449** | **137** | **1,299,424** | **1,522,932** | **1,199,941** | **1,285,860** | **16** | **162,503** | **237,072** | **46** | **55,184** | **65,866** | 14 | 18 | 4 | 200 | 183 | (17) | 294 | 360 | 66 |

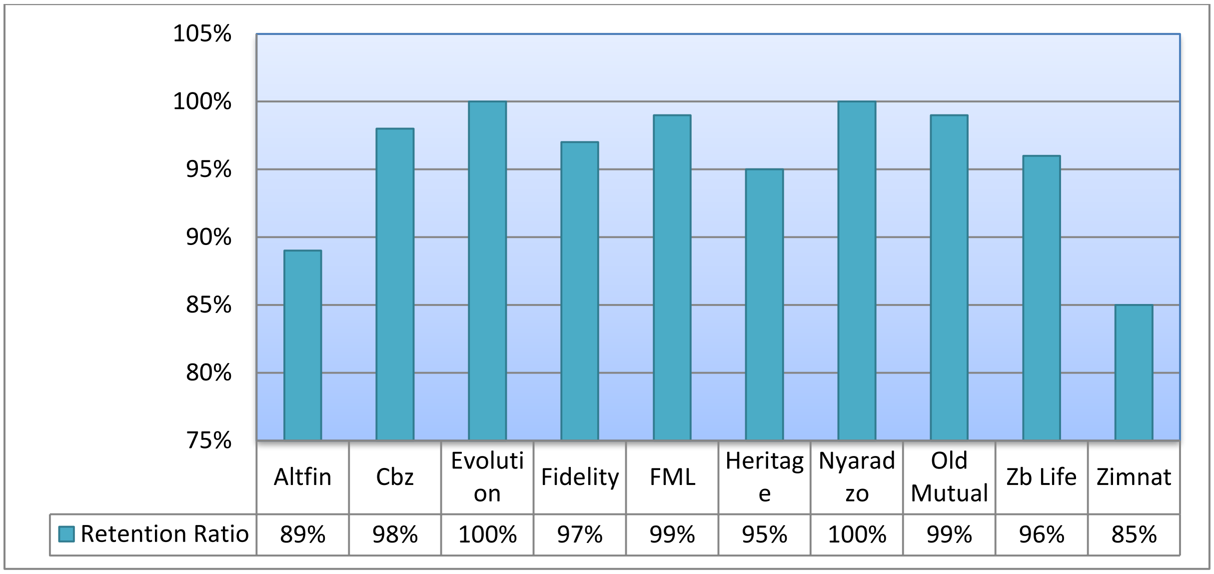
**Figure 7: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2014 ($000)**


NPW
55184
65,866
Capital
162503
237,072
Total Liabilities
1199941
1,285,860
Current liabilities
62669
148,449
Total Assets
1299424
1,522,932
Current assets
174664
272,193
0
200,000
400,000
600,000
800,000
1,000,000
1,200,000
1,400,000
1,600,000
2013
2014

# 12. Reinsurance

The industry reported generally high retention upwards of 85%. The Commission however, encourage players to prudently reinsure on all risk business for reasons ranging from capital management strategy, risk spread, technical expertise etc. (see Figure 8 below)

**Figure 8: Retention Ratios for the quarter ended 31 March 2014**



# Section B

# Reassurance Companies

## 1.0 Update on Number of Operational Institutions

This report is based on 2 life Reassurers.

## 2.0 Business Written

Table 1 below, shows that reinsurers wrote $1.8million in net premiums, a 6% growth from the same quarter last year (March 2013:$1,7million).

**Table 1: Key Performance Indicators for the quarter ended 31 March 2014 ($000)**

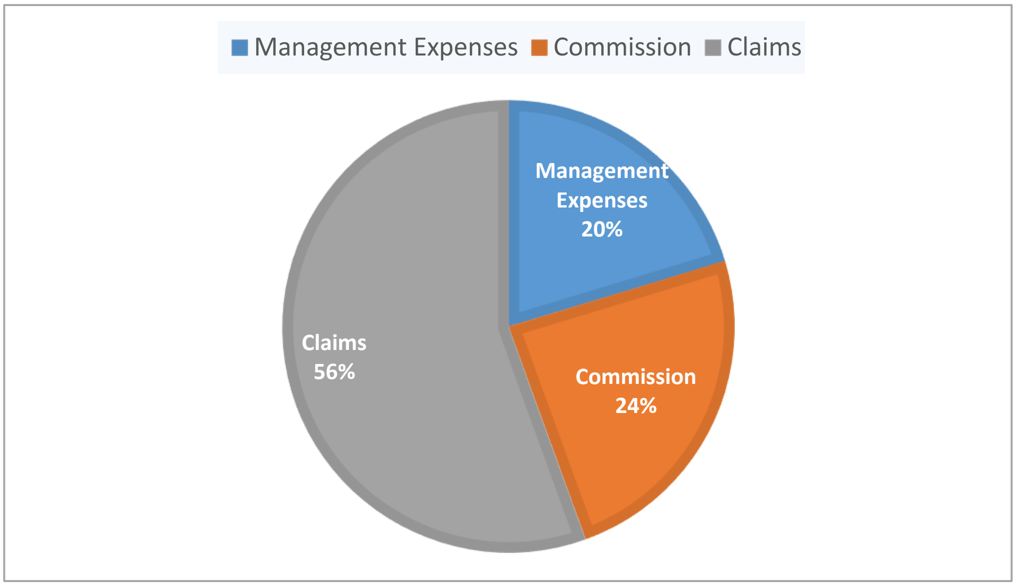
| Item | Baobab Re | | | FM Re | | | Total | | |
|---|---|---|---|---|---|---|---|---|---|
| | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % |
| **Gross Premium Written** | 1,442 | 1,340 | -7 | 438 | 814 | 86 | 1,880 | 2,154 | 15% |
| **Net Premium Written** | 1,363 | 1,108 | -19 | 360 | 711 | 98 | 1,723 | 1,819 | 6% |
| **Net Claims Incurred** | 305 | 481 | 58 | 134 | 369 | 175 | 439 | 850 | 94% |
| **Net Commission Incurred** | 319 | 212 | -34 | 62 | 158 | 155 | 381 | 370 | (3%) |
| **Management Expenses** | 201 | 176 | -12 | 127 | 135 | 6 | 328 | 311 | (5%) |
| **Total Costs** | 825 | 869 | 5 | 321 | 662 | 106 | 1,148 | 1,531 | 33% |
| **Underwriting Profit** | 538 | 239 | 56 | 39 | 49 | 26 | 575 | 288 | (50%) |
| **Combined Ratio** | 61% | 78% | 55 | 89% | 93% | -92 | 67% | 84% | 17% |

## 3.0 Earnings

Total cost grew by 33% to $1.5million from $1.1million in the comparable period last yea whilst net premium inflows grew by 6% to $1.8million.This resulted in a $288 000 underwriting profit and a combined ratio of 84%,a 17% increase from the same period last year

The cost distribution was made up of Claims-$850 000 or 56% (March 2013:38% or $439 000), Commission -$370 000 or 24 %( March 2013:33% or $381 000) and management expenses-$311 000 or 20%(March 2013:29% or $328 000)(See Table 1 and Figure 1 below)

**Figure 1: Cost Drivers for the Reassurers for the quarter ended 31 March 2014**




### 4.0 Capitalization and Solvency Indicators

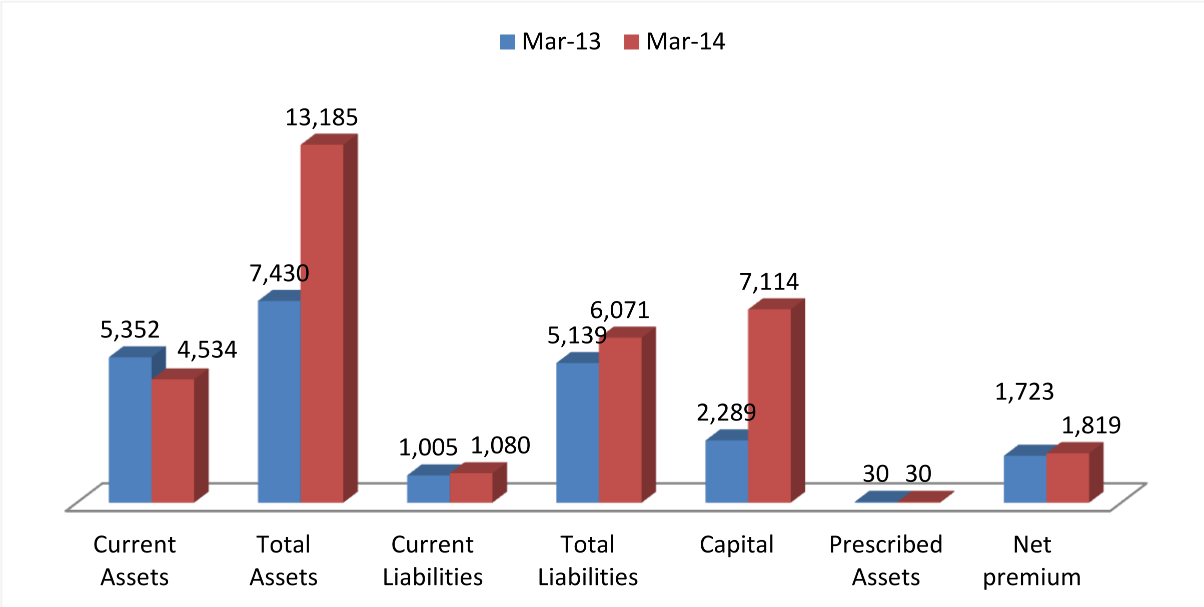
As at the current reporting date, both reinsurers were on course to full compliance with the new minimum capital requirements which are due by 30 June 2014. In the medium to long term, players are encouraged to voluntarily embrace risk based capital models which are emerging whilst the Commission is working out on the modalities of such best practises. This will make implementation much easier and faster for the benefit of all key stakeholders.

The industry reported a current ratio of 420% and a capital to liability ratio of 117% suggesting a reasonably strong industry which is likely to meet legitimate obligations on demand (See Table 2, below).

**Table 2: Capitalisation, Solvency and Liquidity Indicators for the quarter ended 31 March 2014 ($000)**

| Item | Baobab Re | | | FM Re | | | Total | | |
|---|---|---|---|---|---|---|---|---|---|
| | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % | Mar 13 | Mar 14 | % |
| **Current Assets** | 3,527 | 2,810 | -20 | 1,825 | 1,724 | -6 | 5,352 | 4,534 | (15) |
| **Total Assets** | 5,075 | 10,933 | 115 | 2,355 | 2,252 | -4 | 7,430 | 13,185 | 77 |
| **Current Liabilities** | 424 | 685 | 61 | 581 | 395 | 9 | 1,005 | 1,080 | 7 |
| **Total Liabilities** | 3,976 | 5,062 | 27 | 1,163 | 1,009 | -13 | 5,139 | 6,071 | 18 |
| **Capital** | 1099 | 5,871 | 434 | 1,190 | 1,243 | 4 | 2,289 | 7,114 | 211 |
| **Prescribed Assets** | 30 | 30 | 0 | 0 | 0 | 0 | 30 | 30 | 0 |
| **Prescribed asset Ratio** | 1% | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Current Ratio** | 832% | 410% | -74 | 314% | 436% | -13 | 533% | 420% | -35 |
| **Capital to liability ratio** | 28% | 116% | 314 | 102% | 123% | 21 | 45% | 117% | 163 |
| **Net premium written** | 1,363 | 1,108 | -19 | 360 | 711 | 98 | 1,723 | 1,819 | 6 |
| **Capital to Net premium written ratio** | 81% | **530%** | **554** | 331% | **175%** | **-47** | **133%** | **391%** | **194** |

**Figure 2: Total Assets for Reassurers for the quarter ended 31 March 2014($000)**



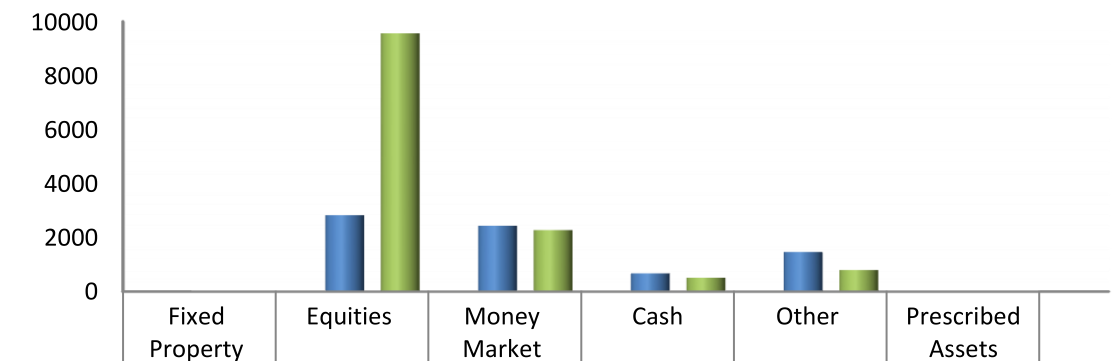

### 5.0 Asset Quality

For the quarter ended 31 March 2014, reassurers' investment assets were held in properties- 0% or $14 000 (March 2013:nil}, equities,$9.6million or 72% (March 2013:38% or $2.8million), money market ,$2.3million or 17%(March 2013:33% or $2.4million), cash assets,$509 000 or 4% (March 2013:9% or $669 000) , other assets ,$797 000 or 6% (March 2013:20% or $1.5million) and $30 000 on prescribed assets. The industry must be stand adhere to investment guidelines from the Commission from in addition to actuarial advice (See Table 3 and Figure 2, below).

**Table3: Total Assets for Reassurers for the quarter ended 31 March 2014 ($000)**

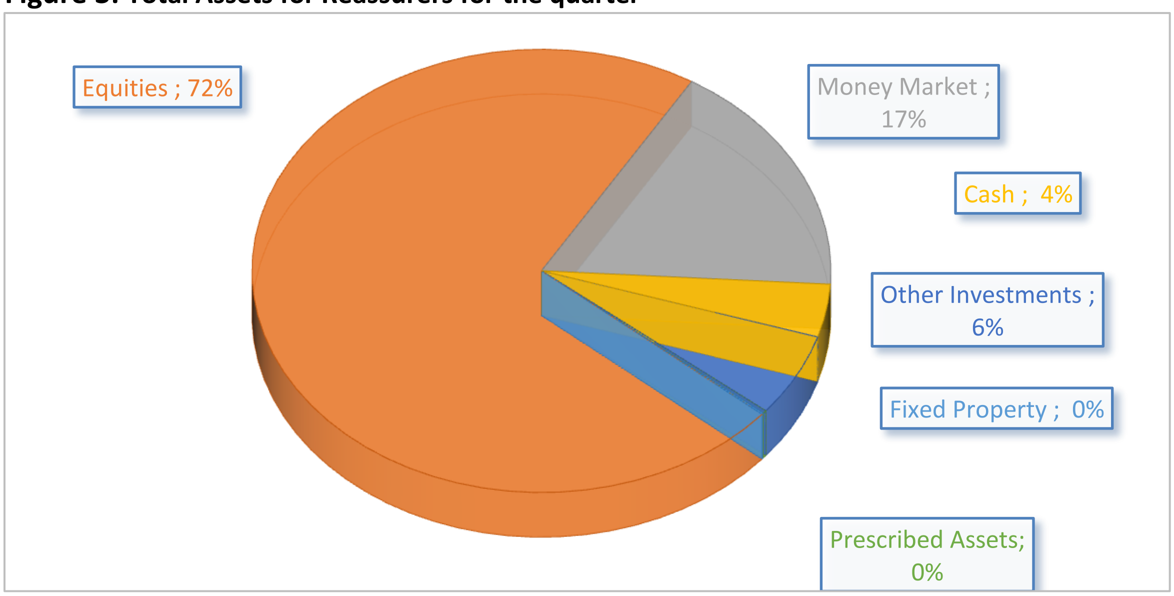
| Asset Type | Baobab Re | | | FM Re | | | Total | | |
|---|---|---|---|---|---|---|---|---|---|
| | 13-Mar | 14-Mar | % | 13-Mar | 14-Mar | % | 13-Mar | 14-Mar | % |
| **Fixed Property (000)** | 0 | 0 | 0 | **0** | 14 | 0 | 0 | 14 | 0 |
| **Equities (000)** | 2,329 | 9,042 | 288 | **502** | 514 | 2 | **2,831** | 9,556 | 238 |
| **Money Market (000)** | 1070 | 722 | -33 | **1,367** | 1,557 | 14 | **2,437** | 2,279 | -6 |
| **Cash (000)** | 536 | 484 | -10 | **133** | 25 | -81 | **669** | 509 | -24 |
| **Other Investments (000** | 1111 | 655 | -41 | **353** | 142 | -59 | **1464** | 797 | -45 |
| **Prescribed Assets** | 30 | 30 | 0 | **0** | 0 | 0 | **30** | 30 | 0 |
| **Total Assets (000)** | **5,076** | **10,933** | **115** | **2,355** | **2,252** | **-4** | **7,431** | **13,185** | **77** |

**Figure 3: Total Assets for Reassurers for the quarter**




| | Fixed Property | Equities | Money Market | Cash | Other | Prescribed Assets |
|---|---|---|---|---|---|---|
| Mar-13 | 0 | 2,831 | 2,437 | 669 | 1464 | 30 |
| Share | 0% | 38% | 33% | 9% | 20% | 0% |
| Mar-14 | 14 | 9,556 | 2,279 | 509 | 797 | 30 |
| Share | 0% | 72% | 17% | 4% | 6% | 0% |

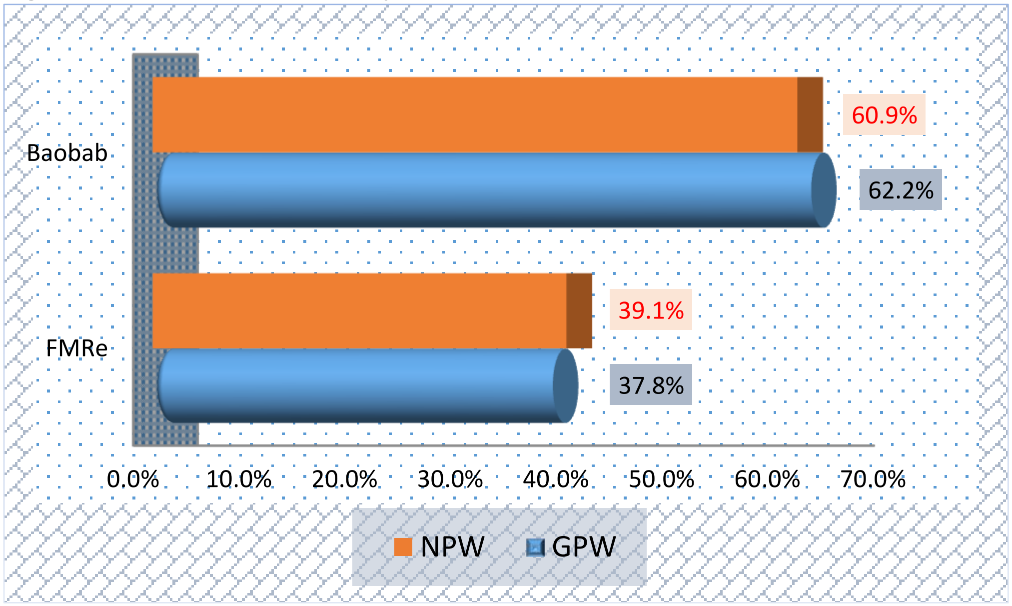
**Figure 3: Total Assets for Reassurers for the quarter**




## 6.0 Market Share

As shown in Figure 3 below, Baobab Life controlled 61% of the market with the FM Re Life and Health getting the balance in net premium terms. Given their cross border market outreach and richer technical expertise, we encourage Reassurers to assist local cedants to introduce new products to the market especially via micro insurance. (See Figure 3, below).

**Figure 4: Market share for the quarter ended 31 March 2014**




## 7.0 Prescribed Assets

Out of a minimum compliance level of 7.5%, the industry's aggregate uptake of prescribed paper was 1%. As more bonds are floated on the market, players are required to participate as a way of complying with the prescribed asset ratio. New business should therefore help companies to correct their asset composition.

**Table 4: List Of Approved Prescribed Asset Paper**

| Issuer | Bond Name | Bond Description | Tenure | Coupon rate | Issue date |
|---|---|---|---|---|---|
| ZB Financial Holdings | ZB Agrobills | To support 2012 Agricultural season | 12months | 11% | 16 January 2014 |
| Fidelity Life Assurance | Fidelity Life Assurance Bond | Funding Development of Southview Park | 5years | 8% | 17 February 2014 |
| IDBZ | IDBZ Bond | Infrastructure Development | 1year | 7% | 17 February 2014 |

## 8.0 Acts, Statutory Instruments and Circulars

For the quarter under review the circulated following Acts, circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

**Table 5: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2013**

| Details | Subject Matter | Issue date |
|---|---|---|
| Draft Circular 1 of 2014 | Guidance on Calculation of Capital and Other Related Issues | 4 march 2014 |
| | | |

**CONCLUSION**

The life industry continues to show signs of recovery both from business written perspective and balance sheet growth. The industry must abide by minimum prudential requirements such as minimum capital requirements and minimum prescribed ratios as availability of government paper improves in to avoid consequences of statutory penalties.